

KRBL Ltd

Buy at Rs 16 or lower**The tortoise can win the race****Market data**

Current price	Rs 20 (BSE)
Market cap	Rs 4,948 m
Face value	Rs 1.0
FY13 div./share	0.8
NSE symbol	KRBL
BSE code	530813
No of shares	241.9 m
Free float	42.0%
52 week H/L	Rs 28.9/19.8

Stock Price Performance

(as on 15 July 2013)

	KRBL	Index*
Over 1-Yr	-5.1%	-13.6%
Over 3-Yr	-5.8%	-14.9%
Over 5-Yr	20.2%	-3.4%

Returns over 1-Year are on a CAGR basis

* BSE-Smallcap Index

Rs 100 invested is worth**Shareholding (Jun-13)**

Category	(%)
Promoters	58.0
Banks, FIs and MFs	0.5
FIIIs	3.3
Public	19.3
Others	19.0
Total	100.0

Report prepared by

Equitymaster Agora Research Pvt. Ltd.

www.equitymaster.com

The macroeconomic environment is just turning gloomier by the day. This is true not just for India. It is more of a global issue at the moment. Nearly every business and industry is suffering. But even through this gloom there is an industry that is managing to hold on to growth. This is the food industry. And our Hidden Treasure recommendation for this month is a market leader in a segment of the food industry. **The company we are referring to is KRBL Ltd which is a leading name in the basmati rice industry.**

The history of KRBL can be traced all the way back to 1889 though the company in its current form came into existence much later. The company has been a significant player and an exporter of basmati rice since 1993. With a milling capacity of 195 MT (metric tonne) per hour, the company is one of the largest rice millers in the world. KRBL has a portfolio of brands including names like 'India Gate' and 'Nur Jahan'. Its brands are leading names in not just the Indian markets but in its export markets as well. In fact in the domestic branded segment of the market, it is the market leader with over 30% of the market share. It is one of the only fully integrated rice companies in India.

Operating in the premium segment of basmati rice helps the company enjoy pricing power. Basmati rice is considered to be one of the most expensive varieties of rice in the world. Interestingly India and Pakistan are the only major suppliers of basmati globally with the Indian variety superseding that of Pakistan in quality terms. As such Indian basmati rice has enjoyed a premium in the global markets. Globally the export volumes for Indian basmati rice have grown at an average of 24% over the past 5 years. Even going forward, the demand from the export markets is expected to continue at a healthy pace. Changing lifestyles and increasing middle class population has helped drive demand in the domestic markets as well.

So things appear to be working well for the company at least on the demand front. Unfortunately the industry itself is such that the performance of the companies tends to be sluggish. This is because of the high working capital requirements that add pressure to the balance sheet. At the same time due to high raw material costs, margins tend to remain narrow. Even though KRBL is the market leader and has better financials as compared to its peers, but it has not really delivered a super duper financial performance. In the past 10 years the company has been able to grow its sales at a compounded annual growth rate (CAGR) of just 13%. Due to cost controls and favorable loan rates, its profits during the same period have grown at a CAGR of 23%. The returns on invested capital over the past 10 years have averaged at 10.4%.

The company has tried to deliver better returns to shareholders by paying out a dividend consistently. It recently announced a buyback of shares to show its commitment to the shareholders. But despite these measures we feel that a company with low returns on invested capital, facing risk in the form of high competition and erratic monsoons,

warrants a higher margin of safety. In our opinion, a correction of 22% would provide adequate margin of safety for long term investment horizon. Hence, we would recommend investors to Buy the stock at Rs 16 or lower.

We would like to gently remind you that your allocation to equities should be decided upon after keeping aside some safe cash. Also, within your overall exposure to equities, please ensure that you broadly follow our suggested asset allocation. We suggest that no single small cap stock should comprise more than 2-3% of your total stock portfolio. (Read more on Asset Allocation at the end of the report.)

Investment Rationale

- **Strong brand and market leadership position:** With a portfolio of 20 brands across all price categories, KRBL is the market leader in branded basmati segment. It enjoys a market share of over 30% in both the domestic as well as the export markets in the branded basmati category. The company's strong marketing network in the domestic markets as well as collaborations with global retail chains have helped it establish and enhance its brands visibility. This helps the company enjoy a premium pricing over its peer brands. As per the company's management KRBL's brands enjoy a premium of over 35% in terms of realization as compared to the peers.
- **Demand remains robust:** Increasing per capita income, growing middle-income population and changing lifestyles have helped boost the demand for basmati rice in the domestic markets. Despite the high food inflation in the country, consumption of basmati rice has increased. This was visible in the over 50% jump in the revenue from domestic sale of rice for KRBL. Even on the export front, the demand for basmati rice remains strong. As such, there are only two major players in the field of basmati globally – India and Pakistan. Due to better quality, Indian basmati commands a premium over that from Pakistan. As such, the consumption of basmati is not affected to a large extent by economic gloom in the global markets. As KRBL has the largest milling capacity and is the market leader, it is expected to benefit from the growth in export markets.
- **Seed development and contract farming helps quality control:** KRBL has its own

Research & Development cell to boost quality, improve rice yields and come up with ways to control costs. At the same time it works with Pusa Institute to develop better qualities of basmati. In addition to this, the company has a 300 hectare seed farm and seed grading plant. This helps the company control the quality of seeds being used.

KRBL is also able to control quality and ensure supply of paddy through contract farming. The company has around 160,000 acres under cultivation and has developed strong relationships with over 70,000 farmers through contract farming. It is increasing the area under cultivation to 250,000 acres. Through seed development and contract farming, the company is able to control quality of the product across the value chain.

- **Storage and warehousing capabilities:** Ageing is of prime importance in the case of basmati rice. The rice has to be aged for at least 1 to 2 years. Therefore having adequate storage and warehousing facilities is of utmost importance. Storage is also required for paddy which is the main raw material. KRBL has extensive storage and warehousing capabilities. Such an extensive network also acts as a barrier to entry for a new player which would have to invest in such capabilities in order to compete at KRBL's scale.
- **Energy a boost:** The company also has its energy division which is a part of its forward integration plan. As of March 2012, it had a generation capacity of 55.6 Mega-Watts (MW). Of this about 15.8 MW is generated through bio-mass while the rest harnesses wind energy. As per the 2012 annual report, the company used 12.8 MW for captive consumption while the rest was sold on a commercial basis to state utilities.
- **Rewarding shareholders:** KRBL has been consistently paying dividends to shareholders for the past 10 years. In recent times the company has increased its payout to around 15% from a 10 year average of about 13%. Over time the management aims to increase the payout further. At the current dividend yield of about 4%, this makes the dividend an attractive proposition for the shareholders. In addition to this, the company has also announced a buyback of up to 10 m shares that represent about 4.11% of its total paid up share capital. The maximum price per share would be Rs 35 per share. The

buyback period is from 4th March, 2013 to 11th February, 2014.

Peer comparison

Parameter (FY13)	KRBL	Rei Agro*	Kohinoor Foods
EBDITA margin (%)	14.1	16.7	9.8
Net margin (%)	6.2	4.1	0.5
Return on equity (%)	15.6	8.1	1.7
Debt to equity ratio	1.0	2.0	2.7
Return on invested capital (%)	12.4	8.8	4.2
P/E (x)**	3.8	5.5	22.6

**Based on trailing 12-months EPS

*Standalone

Source: Company data

Investment Concerns

- **At the mercy of the Rain Gods:** Like any other agriculture produce in our country, rice too is dependent on the monsoons and weather conditions. A year of good rain results in a higher kharif crop. But when the weather turns for the worse, the production takes a hit. KRBL has been trying to mitigate this risk to some extent by using higher yield seeds and distributing these under contract farming. As stated by the management these tend to use lesser water for irrigation. But even then the company's fortunes are linked to the rains which can be erratic.
- **Working capital tends to remain high:** Basmati rice is like wine. It needs to be aged in order to make it better. The ageing process lasts for anywhere between 1 to 2 years. As a result, KRBL tends to have high inventory levels at all times. In addition to the inventory of finished goods, there is also the inventory of paddy that the company has to maintain. The company has a policy in place to try and control the inventory risks of paddy. For exports, the inventory is purchased only when the export order is booked while on the domestic side, the company maintains an inventory of around 9 to 10 months of sales. But despite these measures, inventory tends to be high resulting in high working capital requirements. This results in higher debt levels as the working capital funding tends to remain high. In addition to this, in the event of an unfavorable movement in prices, the company would also need to book inventory losses. This could compress margins in the short term.
- **Raw material risk:** The company faces significant risk in the form of raw material costs.
- It purchases both paddy as well as semi processed rice. The prices of these tend to fluctuate quite a bit. Over time, KRBL has been increasingly purchasing paddy but this has led to higher inventory as well. As a result, the company's margins remain in a narrow range. If costs outpace sales growth, then margins may come under pressure.
- **Geo political risk is high:** Like the rest of the Indian basmati industry, the biggest export destination for KRBL is the Middle East region which has been facing unrest in recent times. Though this has not really hurt the consumption of basmati, however there are risks related to payment delays or disruptions in sales. In addition to this the slowdown in the global markets could result in a slowdown in volume growth if prices hover at higher levels. This is visible in the lower growth in export volumes of basmati rice from India in FY13. As per the data available with APEDA (Agricultural and Processed Food Products Export Development Authority) growth in export volumes in FY13 was just 7.6% as compared to the average of 25% growth seen in the period from FY 07 to FY12. As exports account for over 45% of the total revenues for KRBL, any major disruption in the global markets in general and Middle East in particular could hurt export volumes. It is important to note that the company has been trying to mitigate this risk by diversifying its markets.
- **Currency variation:** Since KRBL derives over 45% of its revenues from exports, the company is exposed to currency risks. The company has a policy of hedging the currency at the rate at which the export order is booked. As such any subsequent variations in the currency levels lead to marked-to-market losses or gains. As an exporter the current fall in the Rupee's value would lead to favourable gains but the tide could very well turn when rupee appreciates. As a result the risk on the currency front is high for the company.
- **Risky small caps:** It is important to note that small caps are inherently more risky as compared to the blue-chip or mid cap stocks. That is the reason we do not recommend small caps to those having a low risk profile. Even for investors having an appetite for slightly more risk, it is advisable to invest not more than 10% of one's portfolio in small-cap stocks. This means that a single small-cap stock should not form

more than 2-3% of your portfolio. The reason for this is that small-caps tend to react very sharply to market movements.

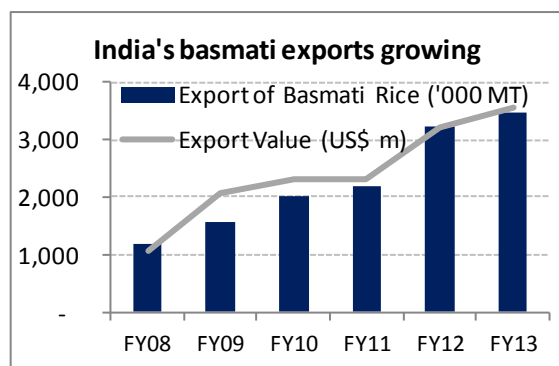
Background

The history of KRBL can be traced all the way back to 1889 though the company in its current form came into existence much later. The company has been a significant player and an exporter of basmati rice since 1993. With a milling capacity of 195 MT (metric tonne) per hour, the company is one of the largest rice millers in the world. KRBL has a portfolio of brands including names like 'India Gate' and 'Nur Jahan'. Its brands are leading names in not just the Indian markets but in its export markets as well. In fact in the domestic branded segment of the market, it is the market leader with over 30% of the market share. It is one of the only fully integrated rice companies in India.

KRBL has its own Research & Development cell to boost quality, improve rice yields and come up with ways to control costs. At the same time it works with Pusa Institute to develop better qualities of basmati. In addition to this the company has a 300 hectare seed farm and seed grading plant. KRBL is also able to control quality and ensure supply of paddy through contract farming. The company has around 160,000 acres under cultivation has developed strong relationships with over 70,000 farmers through contract farming. It is increasing the area under cultivation to 250,000 acres.

Industry prospects

Basmati rice is considered to be one of the most expensive varieties of rice in the world.



Data Source: APEDA

India and Pakistan are the only major suppliers of basmati globally with the Indian variety superseding that of Pakistan in quality terms. As such Indian basmati rice has enjoyed a premium in the global

markets. As per APEDA export volumes for Indian basmati rice has grown at an average of 24% over the past 5 years.

Even going forward, the demand from the export markets is expected to continue at a healthy pace. Changing lifestyles and increasing middle class population has helped drive demand in the domestic markets as well.

The sector was earlier regulated by the government through the MEP (Minimum export price). However, in July 2012, the government has decided to do away with the same.

Management Team

Mr Anil Kumar Mittal is the Chairman and Managing Director of the company. He was the President of the All India Rice Exporters Association as well as the Vice President of the Basmati Rice Farmers & Exporters Development Forum. Mr Mittal is an Arts graduate from University of Delhi.

Mr Anoop Kumar Gupta is the Joint Managing Director of the company. He has over 24 years of experience in the rice industry. He holds a bachelor's degree in science from University of Delhi.

Mr Arun Kumar Gupta is the Joint Managing Director of the company. He holds a commerce degree from the University of Delhi. He holds an MBA from Harvard Business School. He also holds an MS degree in Engineering Economic Systems and a BS degree in Electrical Engineering from Stanford University.

Risk Analysis

Please see 'ERMTM' table on page 6

In order to further improve our risk analysis of companies we have come out with a revised risk matrix. Our new risk matrix is broken down in to 4 sub heads namely industry risk, performance risk, management risk and balance sheet risk. (For details on break down please see the matrix at the end of the report)

Regulatory risk: Some businesses are subject to regulations by external government agencies. These companies are subject to regulatory risk since they do not have the liberty to operate in a free environment. Excessive regulations can create bureaucratic hassles and impede growth. Thus, higher the regulation, higher is the risk for any business. We believe that KRBL's business has medium regulatory risk. Therefore, we assign a risk rating of 6 to the stock.

Cyclicality risk: An industry cycle is characterized by an upturn as well as downturn. Businesses whose fortunes typically swing with industry cycles are known as cyclical businesses. Cyclical businesses do well during an industry upturn and vice versa. On the other hand, there are some businesses based on consumption stories that are non-cyclical. These businesses are immune to industry cycle changes and have less risk. In short, if the business is cyclical higher is the risk. As such the business of KRBL is dependent on monsoons. Therefore the cyclicality risk is high. As such, we assign a high risk score of 3.

Competition risk: Every industry is characterized by competition. However, some industries where entry and exit barriers are typically low have higher competition risk. Low barriers means more players can enter into the industry there by intensifying competition. Low product differentiation also intensifies competition risk. We assign a score of 5 to the stock on this parameter.

Sales growth: Over the eight year period (actual history of past 5 years and explicit forecast for the next 3 years) we expect sales CAGR of around 10%. We assign a risk rating of 3 to the stock on this parameter.

Net profit growth: Over the eight year period (actual history of past 5 years and explicit forecast for the next 3 years) we expect net profit CAGR of around 12%. We assign a risk rating of 3 to the stock on this parameter.

Operating margins: Operating margin is a measurement of what proportion of a company's revenue is left over after paying for variable costs of production such as raw materials, wages, and sales and marketing costs. A healthy operating margin is required for a company to be able to pay for its fixed costs, such as interest on debt. The higher the margin, the better it is for the company as it indicates its operating efficiency. In case of KRBL, because of the business model, the operating margins have been on around 14%. As such, we assign a score of 4 to the stock on this parameter.

Net margins: Net margin is a measurement of what proportion of a company's revenue is left over after paying for all the variable and fixed costs inclusive of interest and depreciation charges. Net margin is the final measure of profitability. It reflects the total profits the company takes home. Higher the margin, better it is for the company as it indicates better pricing power and effective cost management. Due to the commoditized nature of business, the company's margins have not been exceptionally high. But the good thing is that margins have remained positive

even in the worst years. The average net margins over the 8 year period (actual history of past 5 years and explicit forecast for the next 3 years) stands at 6.2%. As such, we assign a score of 2.

Return on invested capital (RoIC): RoIC is an important tool to assess a company's potential to be a quality investment by determining how well the management is able to allocate capital into its operations for future growth. A RoIC of above 15% is considered decent for companies that are in an expansionary phase. The average RoIC over the 8 year period (actual history of past 5 years and explicit forecast for the next 3 years) for KRBL stands at 11.8%. As such, we assign a score of 3.

Earnings quality: This measure helps us assess the quality of earnings reported by the company. For instance, some companies may follow aggressive accounting practices and recognize revenues earlier than warranted. Earlier recognition of revenues boosts profits. However, at the same time they do not generate sufficient operating cash flow (OCF). This signifies debtors are not liquidated on time as sales were booked in advance. Such companies face working capital issues and their quality of earnings is poor. We assess earnings quality by dividing operating cash flow to net profits. Higher the ratio better is the quality of earnings. The average OCF/net profit ratio over the 8 year period (actual history of past 5 years and explicit forecast for the next 3 years) stands at 0.89. We assign a score of 8.

Transparency: Transparency is the key to any business. Transparency can be gauged by assessing the past dealings of the company with various stakeholders be it the customers, suppliers, distributors or shareholders. The easiest way to gauge the same is checking the level of disclosures in the company's quarterly financial updates and communication with minority shareholders. Most importantly, the management's willingness to explain its stance if there is a negative development in the company or stock shows its forthrightness. Transparent managements would get a higher rating. Even though the management of KRBL has been forthcoming with their responses to our questions, however we believe that small cap companies in general tend to face a higher risk in terms of management transparency. We have assigned a score of 4 to the company on this parameter.

Capital allocation: Apart from honesty, capital allocation skills are equally important in assessing management quality. By capital allocation we mean how the management chooses to deploy capital in the business or across businesses. Managements that have in the past destroyed shareholder wealth

by diversifying in unrelated, unviable businesses or make expensive acquisitions would rank low on this parameter. Further managements that focus on capital intensive growth at the cost of profitability would also fetch a low rating. In this regards KRBL has successfully deployed capital in its business which tends to be working capital intensive. It has not destroyed value by investing in unrelated business. Given the moderate returns earned by the business, the company has chosen to use excess funds to reward its shareholders. The consistent payment of dividends as well as the recent announcement of the share buyback is testimony to this. Taking this into consideration we assign a score of 9 to KRBL on this parameter.

Promoter pledging: Promoters typically pledge their shares to take a loan which is generally infused in the company. This exercise is generally resorted to when all other sources of external liquidity dry out. The risk with this strategy arises when share price falls. This triggers margin calls. If management is unable to provide some sort of a collateral to the lending party from whom the money is borrowed that party may sell the shares to recover its money. This accentuates the share price fall. Hence, higher the promoter pledging higher is the risk. With none of the promoter equity being pledged we assign the highest score of 10.

Debt to equity ratio: A highly leveraged business is the first to get hit during times of economic downturn, as companies have to consistently pay interest costs, despite lower profitability. We believe that a debt to equity ratio of greater than 1 is a high-risk proposition. The average D/E ratio over the 8 year period (actual history of past 5 years and explicit forecast for the next 3 years) stands at 1.2 x. This is because the business of KRBL is working capital intensive in nature. We assign a score of 5.

Interest coverage ratio: It is used to determine how comfortably a company is placed in terms of payment of interest on outstanding debt. The interest coverage ratio is calculated by dividing a company's earnings before interest and taxes (EBIT) by its interest expense for a given period. The lower the ratio, the greater are the risks. KRBL's average interest coverage ratio over the 8 year period (actual history of past 5 years and explicit forecast for the next 3 years) stands at 3.3. Hence, we assign a score of 4.

It may be noted that leverage, return generating capability, earnings quality and management risk get the highest weight in our matrix. Hence, scores assigned to these factors influence the overall score.

Considering the above analysis, the total ranking assigned to the company is 69 that, on a weighted basis, stands at 5.4. This makes the stock a medium-risk investment from a long-term perspective

Valuations

The stock of KRBL is currently trading at Rs 20. This implies a multiple of 3.8 times its trailing 12-months earnings. Based on our FY18 earnings estimates, the valuation stands at 2.6 times. Purely on valuations this may make the stock attractively valued for long term investors. However, the stock ranks low on our ERM™ because of low margins as well as low returns on invested capital. Its high working capital requirements too lead to higher debt levels than what we would be comfortable with. Therefore in our opinion the stock warrants higher margin of safety. In our opinion, a correction of 22% would provide adequate margin of safety for long term investment horizon. Hence, we would recommend investors to Buy the stock at Rs 16 or lower.

Valuations at glance

(Rs m)	FY13UA	FY14E	FY15E	FY16E	FY17E	FY18E
Net sales (Rs m)	20,804	20,277	21,260	22,034	23,633	26,810
Net profit (Rs m)	1,299	1,263	1,266	1,390	1,557	1,851
No. of shares (m)	241.9	233.1	233.1	233.1	233.1	233.1
Diluted EPS (Rs)	5.6	5.4	5.4	6.0	6.7	7.9
Price to earnings (x)	3.7	3.8	3.8	3.4	3.1	2.6
Price to sales (x)	0.2	0.2	0.2	0.2	0.2	0.2
Price to book value (x)	0.6	0.5	0.5	0.4	0.4	0.3

E-Estimates

ERM™

Company Specific Parameters	Points	Riskiness (A)										Weightage (B)	Weighted (A*B)
		High - Medium - Low											
Industry risk		1	2	3	4	5	6	7	8	9	10		
Regulatory risk \$	6											5.0%	0.3
Cyclicality risk \$	3											5.0%	0.2
Competition risk \$	5											5.0%	0.3
Performance risk													
Sales growth	3											5.0%	0.2
Net profit growth	3											5.0%	0.2
Operating margins	4											5.0%	0.2
Net margins	2											5.0%	0.1
RoIC / RoNW	3											10.0%	0.3
Earnings Quality (OCF/PAT)	8											10.0%	0.8
Management risk													
Transperancy \$	4											10.0%	0.4
Capital allocation \$	9											10.0%	0.9
Promoter pledging \$	10											10.0%	1.0
Balance Sheet risk													
Debt to equity ratio	5											10.0%	0.5
Interest coverage ratio	4											5.0%	0.2
Final Rating#	69												5.4

*Excluding extraordinary gains

For qualitative factors, denoted by \$ sign, lower the risk, higher the rating

For any risk parameter if the score is below or equal to 4 it indicates high risk. The risk score of these parameters is highlighted in red color. For risk parameters where the score is above 4 riskiness is low. The risk score of such parameters is highlighted in grey.

Financials at a glance

Consolidated (Rs m)	FY13UA	FY14E	FY15E	FY16E	FY17E	FY18E
Sales	20,804	20,277	21,260	22,034	23,633	26,810
Sales growth (%)	27.5%	-2.5%	4.8%	3.6%	7.3%	13.4%
Operating profit	2,934	2,900	3,040	3,283	3,580	4,062
Operating profit margin (%)	14.1%	14.3%	14.3%	14.9%	15.2%	15.2%
Net profit	1,299	1,263	1,266	1,390	1,557	1,851
Net profit margin (%)	6.2%	6.2%	6.0%	6.3%	6.6%	6.9%

Balance Sheet

Fixed assets	4,562	4,748	4,771	4,637	4,455	4,233
Goodwill & intangibles	16	16	16	16	16	16
Current assets	15,244	15,674	16,873	18,291	20,067	22,397
Investments	-	-	-	-	-	-
Other assets	278	278	278	278	278	278
Total assets	20,100	20,716	21,938	23,222	24,816	26,924
Current liabilities	3,270	3,148	3,321	3,431	3,686	4,160
Net worth	8,304	9,041	10,090	11,263	12,603	14,237
Debt	8,356	8,356	8,356	8,356	8,356	8,356
Deferred tax & other liabilities	171	171	171	171	171	171
Total liabilities	20,100	20,716	21,938	23,222	24,816	26,924

E-Estimates

Where Hidden Treasure Fits In...



We recommend that investors should decide their exposure to equities, which is only one part of the overall investment portfolio, after they have kept aside some cash. While we are no experts in wealth management, we believe keeping aside some safe cash is absolutely necessary. Not only will this cash take care of your liquidity needs, but it will also come handy during market declines. Particularly when there will be opportunities to pick up fundamentally strong stocks at cheap valuations. For some of you this cash component could be 6 months of usual monthly expenditure, for others 36 months. You need to decide what amount works for you, and then set it aside. Maybe in a FD, or in a pure liquid fund. Or maybe just cash at home!

Having decided what portion of your overall portfolio will be in equities, it is time to decide the allocation of stocks within your equity portfolio.

As your experience will tell you, stock markets tend to be very volatile. And putting too much money in a single stock or sector can be very risky. That is why we advise our subscribers to have a well-diversified equity portfolio comprising the appropriate proportion of small cap, mid cap and large cap/ blue-chip stocks. Based on their relative riskiness, we have created an [asset allocation pyramid](#) that can help you in deciding how much money you should invest in a stock. However, it must be noted that the allocation levels could differ from person to person depending on the risk appetite.

Small cap stocks are inherently more risky compared to large blue-chip or mid cap stocks. On the brighter side, they present a huge growth potential. It is not unusual for a good small cap stock to turn a multibagger in a matter of months. But on the flipside, there is a high risk attached. We'll tell you straightaway that not all small cap stocks tend to be outperformers. In fact, we have seen small cap stocks plunging 80-90% when things turn sour. That is the reason small caps are not recommendable to those having a low risk profile. **Even for investors having an appetite for slightly more risk, not more than 10% of one's portfolio should be invested in small cap stocks. This means that a single small cap stock should not form more than 2-3% of your portfolio.** This will ensure that even if your investment in a particular stock turns out to be a failure, it will not have a very adverse impact on your overall portfolio.

What does 'Closed Position' mean?

Hidden Treasure recommendations are meant to meet the target prices within a time frame of five years. So when the stock meets target price or completes the time frame we 'close the recommendation'. However, since we keep reviewing our assumptions and estimates for the stock even in the interim, the view or target price on the stock may warrant a change. This could be a revision upwards or downwards. In such cases, if the previous recommendation on the stock is no longer valid we close that recommendation. So we essentially close recommendations either by giving a Sell view or putting out a changed view.

How to read the returns calculations?

For positions that are not closed returns are calculated from date of recommendation till date.

For closed positions, there can be two types of calculations.

- Assuming we initially gave a Buy on a stock with no subsequent recommendations on the same stock. In that case the calculation is fairly simple. The returns shown in this case is simply the change in stock price from the date of recommendation till the date on which the position was closed.

- Now let us take a case where we initiated with a Buy (1st position) and subsequently came with another recommendation (2nd position) on the same stock. Let us assume that the subsequent recommendation was also a buy.

In such cases, the return calculation depends on whether the 1st position is closed or not. If the first position is closed before we reiterate buy then the return on the first position will be calculated as shown previously.

However, if 1st position was not closed before we reiterated buy, then the return calculation is from the earlier buy recommendation till the date on which the position was closed. Basically where we have reiterated view on a stock we try to show cumulative returns. The same logic applies with Hold recommendations as well.

Now let us look at Sell recommendations. There can be two situations here.

- If there is no recommendation subsequent to the Sell recommendation we show maximum drop in stock price from date of sell recommendation till date.
- If the Sell recommendation is followed up by another recommendation, we show maximum drop in stock price between the two recommendation dates.

Basically we have tried to cover all hypothetical instances in this note that may help you better understand the return calculations and closed positions of our recommendations. If you have any query pertaining to it please do [write in to us for further clarifications.](#)

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